

Module 3: Acquiring Customers, Part I: Paid Media

Module Takeaways

The key takeaways in this module include:

- Describe the three methods to acquire new customers: paid, owned, and earned media
- Highlight important paid media channels and explain when they might be most useful
- Explain the purposes to which paid media is best suited
- Understand the strategic considerations behind the creative choices in advertising
- Analyze a digital marketing budget

Paid, Owned, and Earned Media

- **Paid media:** A company pays money out of its marketing budget to showcase its product or service in media where consumers are likely to encounter them such as television or newspapers. This approach is also sometimes called “outbound marketing.”
- **Owned media:** A company uses its owned assets such as the company website or social media to create content (blogs, newsletters, posts) for their target customers. This approach is also referred to as “inbound marketing.” The company then uses search engine optimization (SEO) to make it easy for the target consumer to find the content.
- **Earned media:** Customers learn about new products and services from other customers via social media content such as posts, blogs, and videos. An existing customer advocates for a company’s product or service and reaches potential new customers. A company does not need to invest its own resources to generate this organic publicity and marketing; however, there are ways a company can intervene in the conversation to amplify certain messages.

Synergy

These three types of media often have **synergy**. For example, when a company discovers someone who is promoting its products for free and decides to enlist them as a paid influencer, a combination of earned and paid media is at work.

Similarly, when a company creates and distributes a piece of media on its own channels and then followers begin sharing it with others, a combination of owned and earned media is at play. Finally, a company may host its own content on a platform but then pay to give the content a “boost,” which is a mix of owned and paid media at work.

Types of Paid Media

Paid media advertisements can be divided into two main categories:

- **Search engine marketing (SEM):** Also called “search ads” and “**paid search**,” where the consumer is actively looking for a specific product or brand online and advertisements appear in response to the consumer’s search engines queries.
- **Display ads:** Ads that appear online to consumers who might be interested in a product but are not actively looking for it. A company strategically places ads in a channel where the target audience is likely to encounter it. When display ads are placed on social media platforms, they are called “**paid social**.”
 - **Native advertising** is a type of display ad and is designed to act as informative content and blend seamlessly with the content of the platform on which they appear.

Search Engine Marketing

Advertising on search engines like Google via search engine marketing (SEM) is important when consumers are actively searching for a product or looking for a solution to a problem.

Five components of effectively implementing SEM:

- Choosing keywords that lead to the ad
- Designing the content of the ad
- Identifying the best landing page for the ad
- Developing a bidding strategy for the keywords
- Analyzing results and optimizing accordingly

One important aspect of SEM is selecting keywords. There are two categories of keywords to consider:

- **Branded keywords:** Keywords related to a company’s brand name
- **Generic (non-branded) keywords:** Keywords related to a general category or product

Display Advertising

Display ads target consumers who are not actively searching for a product. You should place display ads where the target audience is likely to come across them, even when the audience might be engaged in something unrelated to your product or service.

Display ads can come in many different formats. Here are some common ones:

- **Banner ads** appear as a banner on a web page, typically at the top of the page.
- **Expandable banner ads** expand to take up a larger part of the webpage.

- **Interstitial ads** appear as full web pages before users are directed to the original webpage they requested.
- **Rich media ads** contain interactive components such as video, audio, or hyperlinks.

Pros of display ads	Cons of display ads
● Broader reach (increase size of customer base) ● Efficiency through retargeting ● Greater creative potential	● Tendency to displease consumers ● Potential privacy issues with targeted ads ● Low click through rate/low efficiency

Native Advertising

Native ads differ from traditional forms of display ads in two ways:

- They are designed to blend with the content of the publication or platform in which they appear.
- Beyond making consumers aware of the brand or product, native ads aim to provide value from the content that they are embedded in.

Pros:

- Native ads offer consumers something beyond a push towards purchase; this added value makes them more engaging.
- People engage more with native ads. Native ads are viewed over 50% more than other types of display ads.
- Native ads have consistently higher click-through rates than traditional display ads, making them more efficient.
- Native ads present a way for advertisers to target potential customers without having to obtain consumer data.

Challenges:

- The upfront cost to develop a high-performing native campaign is higher than a traditional display ad campaign; it requires more creative work and greater coordination with publishing partners.
- Native ads require brands to acquire editorial skills for content creation on topics that are much broader than their brand or product category.
- There are questions of trust and ethics; native ads—especially on news platforms—have prompted people to question whether consumers can tell the difference between advertising and editorial content.

Paid Social

Display ads that appear on social media sites, often called **paid social ads**, form a major component of digital display advertising. Paid social ads are created by a company and placed on social media sites.

Pros:

- Many social media platforms have broad reach to millions or even billions of users.
- Social media platforms can provide data on users that are similar to a company's current customers.
- Data on these users allows for easy and efficient targeting for prospective customers.
- Paid social ads can be used to fulfill multiple objectives by targeting consumers at various stages of the marketing funnel.
- Paid social is an efficient way to re-target audiences who may have shown interest in a product but have not bought it yet.

Challenges:

- As more brands use paid social media, these channels have become crowded, making it more difficult for a brand to stand out and leading to a significant price increase.
- High cost and greater clutter have made paid social a less cost-effective option for many brands.

Digital Video

Digital video has become an essential part of paid media for two reasons:

- The technology to create high-quality videos has become more accessible.
- Consumers are spending more and more time watching videos.

Pros of video content:

- Videos allow brands to tell their story in an engaging way.
- Digital videos are used at all stages of the marketing funnel. Compelling video content can generate brand awareness, educate, and build trust for your brand among consumers. It can also enhance consideration of your brand and drive conversion.
- In addition to using digital videos on social media platforms, video can also be used on streaming services (Hulu, Netflix, and Disney+). These services are called "over the top" or OTT services.

Types of TV

- **Over the Top (OTT):** digital streaming services (Hulu, Netflix, and Disney+)
- **Connected TV (CTV):** a subset of OTT, including apps and services that don't require subscriptions to cable or streaming services. Smart TVs, set-top box devices like Roku or Fire TV, and gaming consoles like Xbox allow consumers to stream traditional TV on various devices. Connected TV allows for better targeting of customers and enhanced measurement of ad effectiveness than traditional "linear" TV.

Paid Media and the Marketing Funnel

The choice of paid media channels starts with your marketing plan—**your objective, your target audience, and your value proposition**. It also depends on **which stage of the customer journey you want to influence**; do you want to focus on the top, the middle, or the bottom of the funnel?

- The choice of paid media channels should be guided by the **audience** you are trying to reach and what stage of their decision journey they are in.
- Consider the role that a company's **value proposition** plays in the design of its paid media strategy and the selection of paid media channels

Value Proposition Messaging and Content

You will need to select 2-3 key benefits you can credibly offer to consumers that differentiate you from the competition: this is your **value proposition**. Your messaging and content around the value proposition will change for consumers at the top, middle, and bottom parts of the funnel.

- The goal at the top of the funnel is to create category and brand awareness.
- The goal at the middle of the funnel is to highlight why consumers should consider your product instead of a competitor's.
- At the bottom of the funnel, when people are ready to buy, the message could focus on aspects such as price, design, and availability.

Measuring Paid Media

The sheer amount of information and data that marketers have access to raises important questions:

- How are different metrics calculated?
- What are the strengths and limitations of the various metrics?
- What factors should guide your choice of metrics?
- What are the implications of these choices?

You will need to make strategic considerations in selecting the right metrics to measure the success of a campaign. **Here is a summary of how to calculate the key metrics:**

- Number of impressions = $(\$Ad\ Spend / CPM) * 1,000$
- Click-through rate (CTR) = $Number\ of\ clicks / number\ of\ impressions$
- Number of clicks = $Number\ of\ impressions * CTR$
- Conversion rate = $Number\ of\ orders / number\ of\ clicks$
- Number of orders = $Number\ of\ clicks * Conversion\ rate$
- Cost per order = $\$Ad\ spend / number\ of\ orders$
- Revenue = $Number\ of\ orders * Price$

Some of these metrics can be combined to **calculate revenue and profit:**

- Revenue = $(Impressions * CTR * Conversion\ rate * Price)$

- Profit = (Impressions x CTR x Conversion Rate x Margin) – ad cost
- ROAS = Revenue / \$Ad spend
- ROI = (Revenue * Profit margin – \$Ad spend) / \$Ad spend

Measuring Paid Media

Making decisions about paid media can be complex. It's rarely as simple as putting more money into a channel with the highest ROAS. Keep in mind:

- Different channels are typically associated with different goals. Paid search, especially branded search, is typically a bottom-of-the-funnel tactic; it is aimed at converting consumers who are already aware of the brand and may be close to purchasing. So, it is likely to have the highest ROAS and ROI.
- In contrast, display and digital videos are not expected to lead directly to purchase. Their goal is to build brand awareness and increase consideration that might eventually help search ads to convert those consumers. These types of ads have lower ROAS and ROI than paid search.

Marketing Funnel Focus	Metric	Description	Formula
Awareness	Impressions	Number of times an ad was displayed	(Ad spend / CPM) * 1,000
	Cost per mille (CPM)	Cost per thousand impressions	(Media cost / impressions) * 1000
Consideration	Clicks	Number of times your ad was clicked by users who may want to either buy your product or learn more about it	# Impressions * CTR
	Click-through Rate (CTR)	The ratio of clicks to impressions	#Clicks / #Impressions
	Cost per Click (CPC)	What it cost the company to get a click on their ad	Media cost / #clicks
Conversion	Return on Ad Spend (ROAS)	Revenue generated from each dollar spent	Revenue / Media cost
	Return on Investment (ROI)	The return on each dollar spent	(Revenue*profit margin – Media cost) / Media cost
	Conversion Rate	The ratio of consumers who bought product after clicking on the ad	#Buyers / #Clicks



	Cost per Order (CPO)	The marketing dollars you needed to spend to get an order	media cost / #orders
	Customer Acquisition Cost (CAC)	Cost of acquiring a customer	Media cost / # of new customers
	Lifetime Value	The money that the firm earns from a customer over a long period of time	(To be introduced later)

Balancing Brand-building and Performance Marketing

Deciding whether to spend money on brand-building—by allocating resources at the top of the funnel using channels such as TV and digital video—or to allocate more money at the bottom of the funnel—using channels such as paid search—is a tradeoff between long-term and short-term goals.

Building a brand and **improving brand awareness** helps you grow in the long run and creates a sustainable competitive advantage. In contrast, **performance marketing** through lower-funnel tactics like search ads helps by growing sales in the short run.

While it is difficult to measure the direct impact of brand-building, companies need to invest in the long run and not focus exclusively on short-term metrics such as ROAS.